

CLASS 10 NOTES

ECONOMICS

Money and Credit

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MONEY AND CREDIT

Money as a medium of Exchange:

Barter System:

- A system where goods are directly exchanged without the use of money. Here both parties agree to sell and buy each other's commodity. This is known as double coincidence of wants.
- Since money acts as an intermediate in the exchange process, it is called a medium of exchange.

Modern Forms of Money:

Exam me aayega

Currency:

- Currency is a generally accepted form of money, including coins and paper notes.
- In India, the Reserve Bank of India (RBI) issues currency notes on behalf of the central government.
- The law legalizes the use of 'rupee' (₹) as a medium of payment that cannot be refused in settling transactions in India.
- Therefore the 'rupee' (₹) is widely accepted as a medium of exchange.

Deposits with Banks:

Banks - other form in which people hold money.

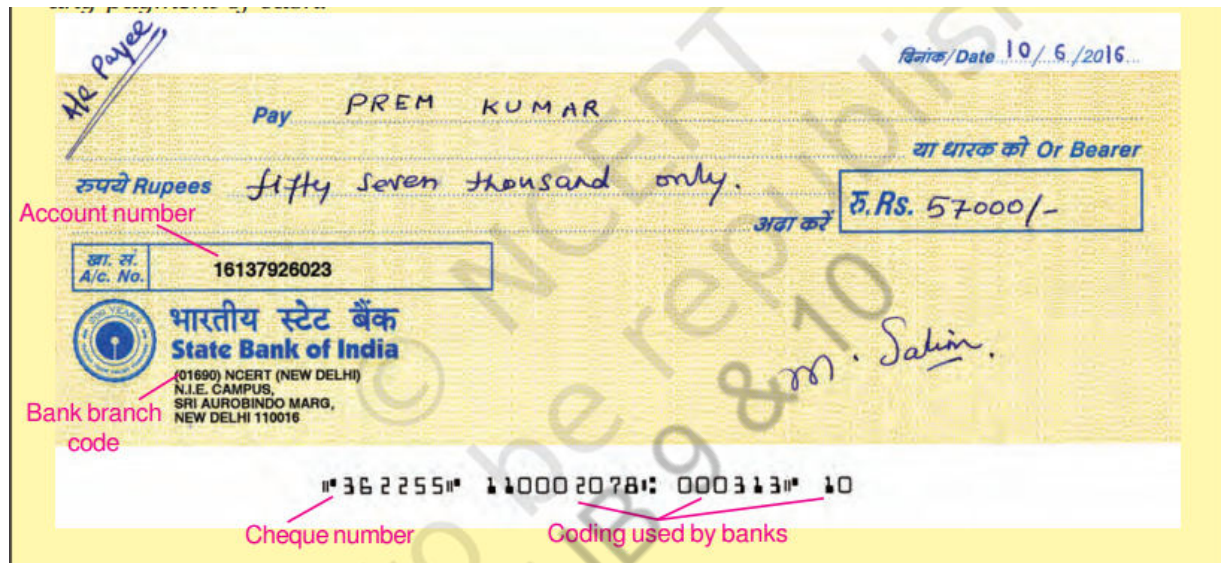
Money deposited in Banks is safe with the bank and people also get interest on the deposited amount.

The deposits in the bank accounts can be withdrawn on demand .

Hence, these deposits are also called demand deposits.

Cheques:

A cheque is a paper instructing the bank to pay a specific amount from the person's account to the person in whose name the cheque has been issued.



Facility of cheque, make it possible to settle payments directly without use of cash.

LOAN ACTIVITIES OF BANKS:

- Banks mediate between those who have extra funds (the depositors) and those who are in need of those fund (the borrowers).
- Banks charge a higher interest rate on loans than what they offer on deposits. This difference between interest is banks main source of income.

In India only 15% of deposit is kept with the bank itself, the rest is given out as loans.

TWO DIFFERENT CREDIT SITUATIONS:

Credit (loans) refers to an arrangement in which the lender supplies the borrower with money, goods or service in return for the promise of future payment.

Situation I: it can increase a person's earnings.

Credit in this case plays a vital and positive role in this situation.

(1) Festival Season

It is festival season two months from now and the shoe manufacturer, Salim, has received an order from a large trader in town for 3,000 pairs of shoes to be delivered in a month time. To complete production on time, Salim has to hire a few more workers for stitching and pasting work. He has to purchase the raw materials. To meet these expenses, Salim obtains loans from two sources. First, he asks the leather supplier to supply leather

now and promises to pay him later. Second, he obtains loan in cash from the large trader as advance payment for 1000 pairs of shoes with a promise to deliver the whole order by the end of the month.

At the end of the month, Salim is able to deliver the order, make a good profit, and repay the money that he had borrowed.



Situation II: it may push the person into debt trap.

Credit in this case pushes the borrower into a situation from which recovery is very painful.

(2) Swapna's Problem

Swapna, a small farmer, grows groundnut on her three acres of land. She takes a loan from the moneylender to meet the expenses of cultivation, hoping that her harvest would help repay the loan. Midway through the season the crop is hit by pests and the crop fails. Though Swapna sprays her crops with expensive pesticides, it makes little difference. She is unable to repay the moneylender and the debt grows over the year into a large amount. Next year, Swapna takes a fresh loan for cultivation. It is a normal crop this year. But the earnings are not enough to cover the old loan. She is caught in debt. She has to sell a part of the land to pay off the debt.



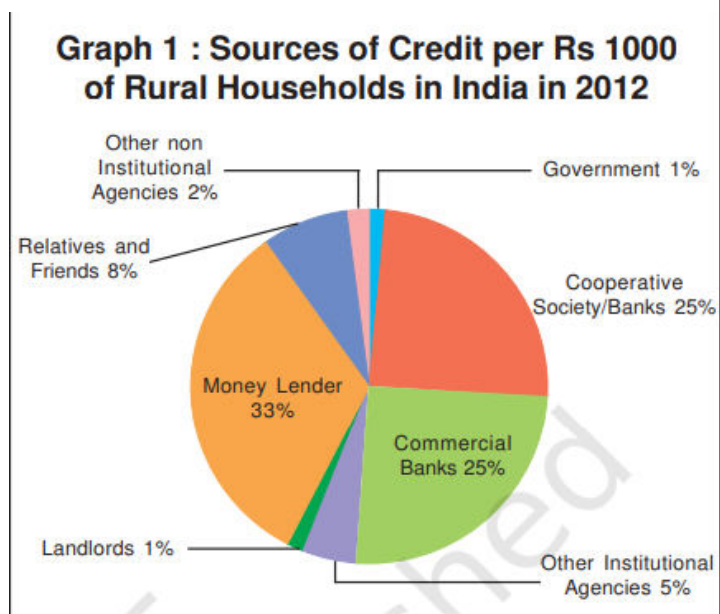
Debt trap is a situation in which a loan is difficult or impossible to repay, it is mainly caused due to high interest.

Terms of Credit: E.M.A

- Terms of credit is a set of conditions under which a loan is given . It may include method of payment, rate of interest , duration of credit and other related conditions.
- **Collateral is an asset that the borrower owns (such as land, building, vehicle, livestock, deposits with banks) and uses this as a guarantee to a lender until the loan is repaid.** Property such as land titles, deposits with banks, livestock are some common examples of collateral used for borrowing.
- If the borrower fails to repay the loan, the lender has the right to sell the asset or collateral to obtain payment.

Credit Sources in India:

The various types of loans can be conveniently grouped as formal sector loans and informal sector loans. Among the former are loans from banks and cooperatives. The informal lenders include moneylenders, traders, employers, relatives and friends, etc.



<i>Formal</i>	<i>Informal</i>
• The Reserve Bank of India supervises the functioning of formal sources of loans. • The RBI sees that the banks give loans not just to profit-making businesses and traders but also to small cultivators, small scale industries, to small borrowers etc. • Periodically, banks have to submit information to the RBI on how much they are lending, to whom, at what interest rate, etc.	• There is no organization which supervises the credit activities of lenders in the informal sector. • They can lend at whatever interest rate they choose. • There is no one to stop them from using unfair means to get their money back. • The cost to the borrower of informal loans is much higher as no record of the transactions are kept and the poor are harassed.

Thus, it is necessary that banks and cooperatives increase their lending particularly in the rural areas, so that the dependence on informal sources of credit reduces.

Self Help Groups (SHGs for Poors):

- SHGs have 15-20 members who meet regularly and pool their savings, saving varies from 25 or 100 or more depending on the ability of the person
- After a year or two of regular savings, it becomes eligible for loan from the bank.
- SHGS help borrowers to overcome the problem of lack of collateral.
- Decision regarding loan use is taken by members of the group. Like interest, duration , purpose, amount etc.
- If a member fails to repay, other members can pay for his share, because of this feature, banks are willing to lend to SHGs.
- Members can take small loans from the group itself. Regular meetings of the group provide a platform to discuss and act on a variety of social issues.



Top Seven Questions:

Short Answer Type Questions (1 - 3 Marks)

1. Why is cheap and affordable credit important for the country's development? Explain any three reasons. {CBSE 2018, Delhi 2012}

Ans: Due to the following three reasons, cheap and affordable credit is important for the country's development:

- a. It will help people to take credit for a variety of reasons.
- b. It will help poor people to get rid of the problem of moneylenders and their high rate of interest.
- c. It will be easy for the people to repay the loan.

2. How does money act as a medium of exchange? {All India 2015}

Ans: Money acts as an intermediate in the exchange process and eliminates the need for double coincidence of wants. As money acts as intermediate, it is also called medium of exchange.

3. How can money be easily exchanged for goods and services?

Give an example to explain. {Delhi 2016}

Ans: If a shoe manufacturer wants to sell shoes and buy wheat, then first he has to look for a wheat-growing farmer who wants to buy shoes and needs to sell wheat. Money can make it easier to exchange things. The shoe manufacturer can sell the shoes for money and that money can be used to buy wheat.

4. "Poor households still depend on informal sources of credit."

Support the statement with examples. {Foreign 2016}

Ans: Yes, it is true that the poor households still depend on informal sources of credit. It is due to the following reasons:

- a. Banks are not present everywhere.
- b. Collateral is required by the formal sector loan providers.
- c. Many a time, the moneylenders know the borrowers personally and are willing to pay the loan without any collateral.

5. Why is it necessary for the banks and the cooperative societies to increase their lending facilities in the rural areas? Explain. {Delhi 2015}

Ans: Due to the following reasons it is necessary for the banks and the cooperative societies to increase their lending facilities in the rural areas:

- a. There is limited availability of the formal sector credit sources in the rural areas.
- b. The poor borrowers are bound to take loans from the moneylenders at a high rate of interest.
- c. Due to the high rate of interest they are not able to repay the loan and are caught in debt- trap.

Long Answer Type Questions (5 Marks)

6. How are deposits with banks beneficial for the individual as well as for the nation? Explain with examples. {Delhi 2015}

Ans: Those having extra cash open a bank account in their name and deposit the surplus money there. Their money is safe with the banks and they get some interest rate on the amount they have deposited. Out of the total money deposited with the banks 15% of it is kept as minimum cash balance to pay to the depositors who

might come to withdraw money from the bank on any given day. Rest of the amount is used to extend the loan to the borrowers. This helps people to run and expand their business which will increase the individual income and finally the country's income.

7. Describe any four advantages of Self-Help Groups for the poor.
{CBSE 2011}

Ans: This is a new idea to organize rural poor particularly women who pool their savings. Generally, this group has 15-20 members. Members belong to the neighborhood so that they can meet and save regularly. Saving per member varies from ₹ 25 to ₹ 100 or more, depending on the economic condition of the member.

The four advantages of Self-Help Groups for the poor are:

- a. When the group is regular in saving for a year or two then the group is eligible for getting a loan from the bank.
- b. Banks provide loans in the name of the group and then the SHG gives loans to its members at a very low rate of interest.
- c. Loan matters are taken very seriously, as if any one member is not able to repay the loan then it is followed by other members and because of this feature, they get a loan from the bank even though they have no collateral.
- d. Loan is provided to help them to create self employment opportunities. SHG helps women in making them financially self reliant and provides a platform to discuss and act on a variety of social issues.